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College Fed Challenge

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Introduction: The Policy Environment

Economic Environment

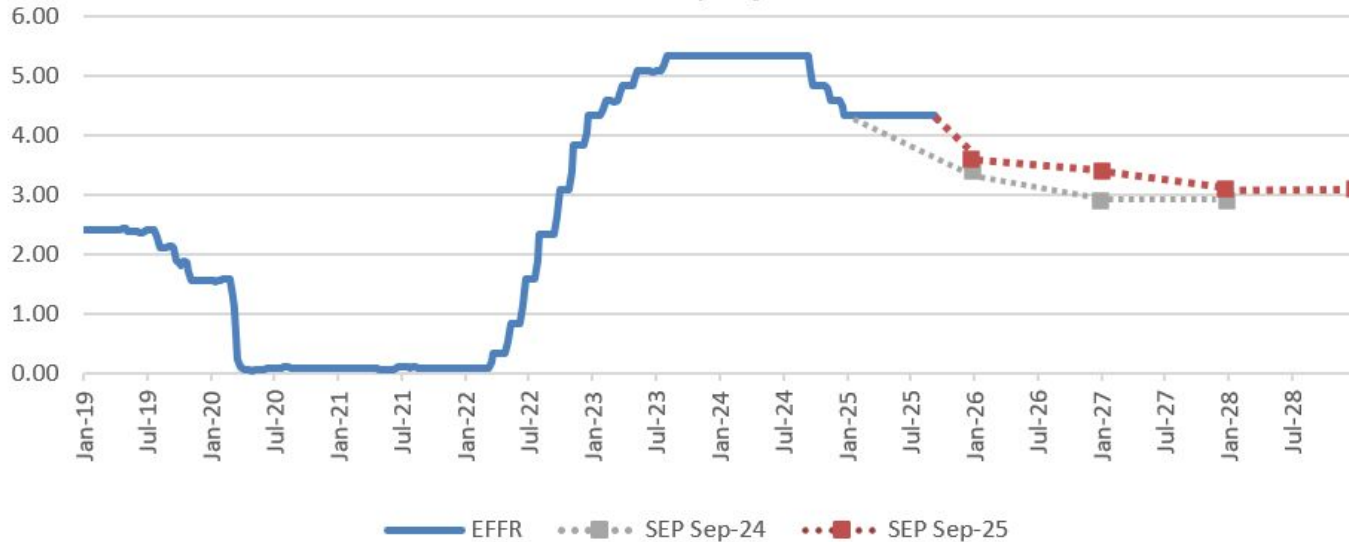
Growth: GDP growth slowed to ~1.5% in first half of 2025.

Labor Market: Unemployment at 4.3%, job gains slowed to 22k in August.

Inflation: PCE 2.7%, Core PCE 2.9%, risks tilted upward.

September FOMC decision

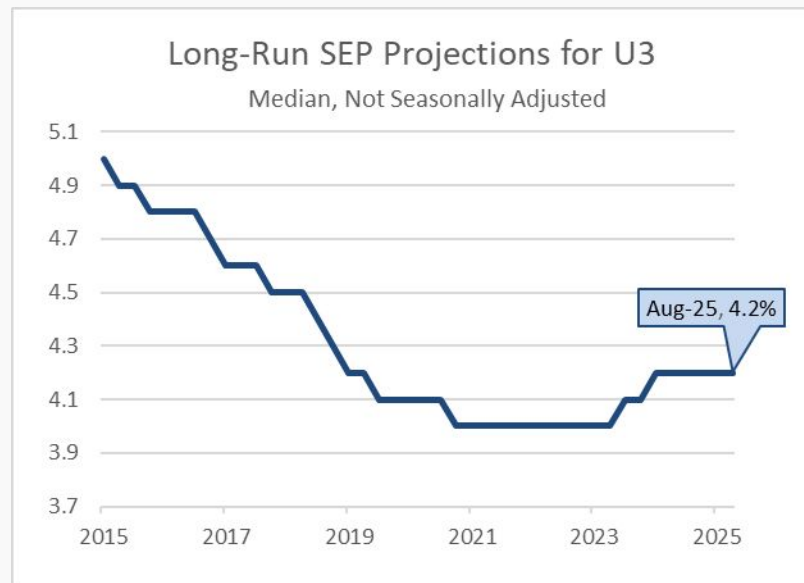
EFFR & SEP projections



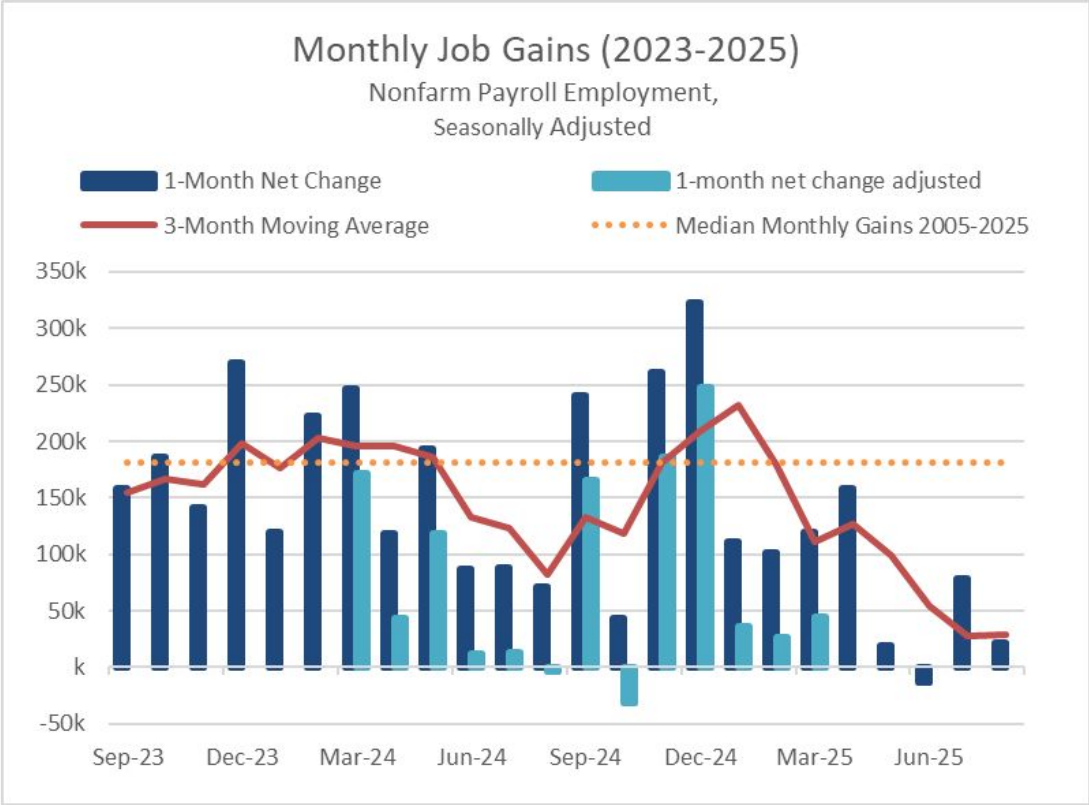
- FOMC cut policy rate **25 bps to 4.0–4.25%.**
- SEP path revised lower
- Balancing upside inflation risk and downside employment risk

Labor Market

Unemployment Rate

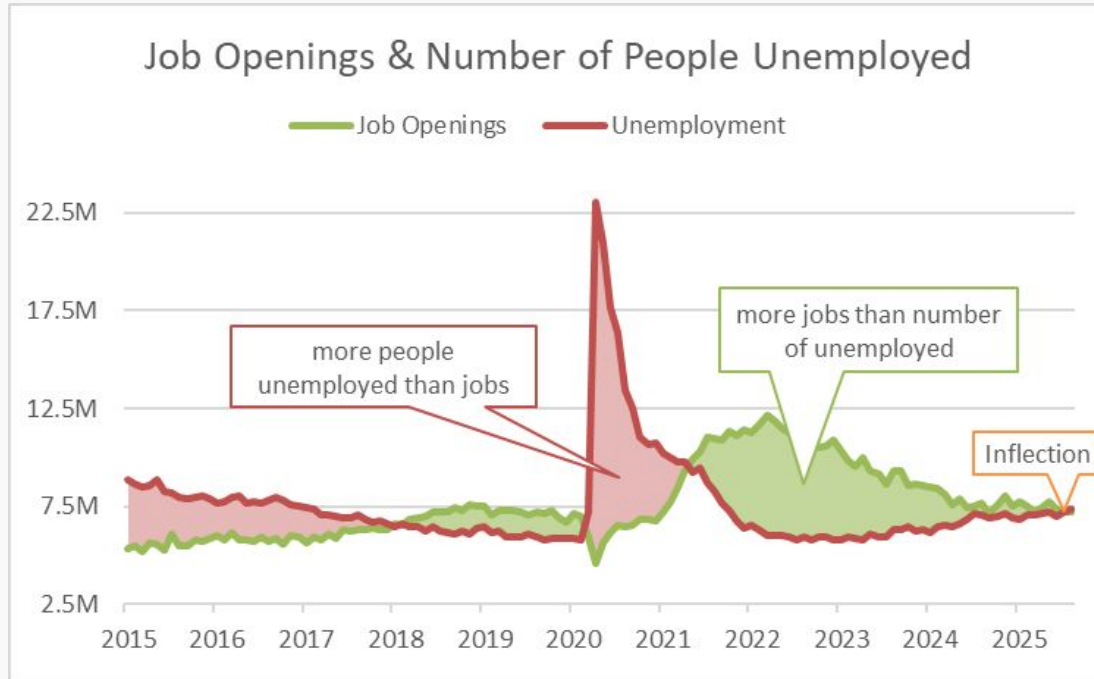


Labor Demand: Job Growth Slows compared to historical trends



Source: BLS CES Survey

Slack in the labor market fueled by Demand



Reduced Openings = lower labor demand

Why?

1. Weak consumer demand
2. Return-to-office & AI-related attrition
3. Shortage of immigrant labor

Slight Weakening in Employment Outcomes of core workforce, especially for Black workers

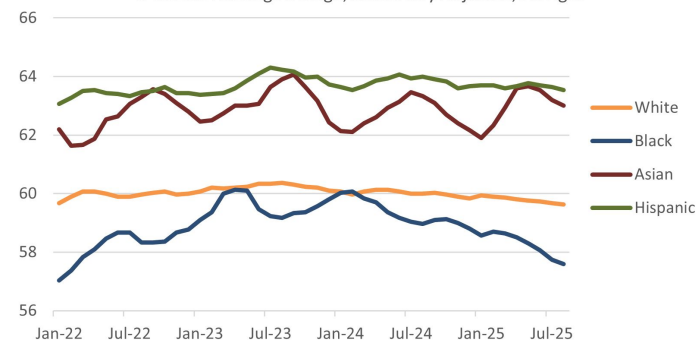
Employment-Population Ratio, Ages 25-54

3-Month Moving Average, Seasonally Adjusted



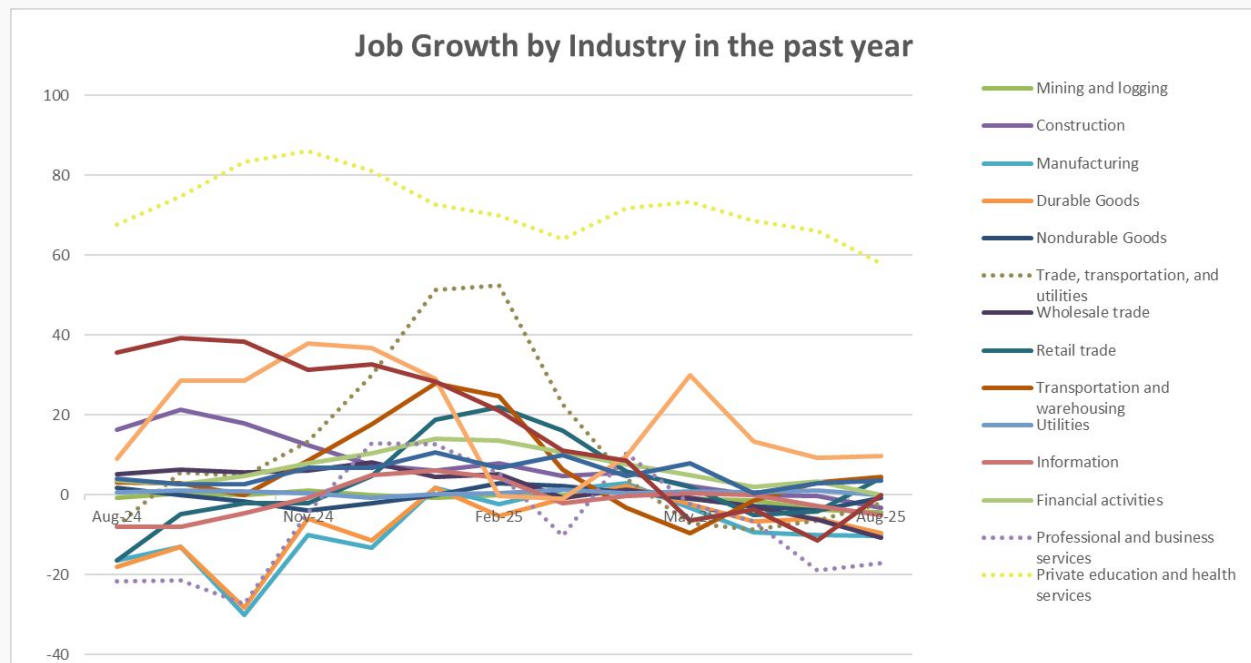
Employment-Population Ratio by Race

3-Month Moving Average, Seasonally Adjusted, All Ages



Labor Supply

Job Growth by Sector



The past 4 months have seen particularly poor job growth, with **government, professional & business services, manufacturing, and wholesale trade** responsible, although this was offset to historically consistent gains and **private health & education services**.

Wages

Nominal Wage Growth (Private)

Quarterly Y-o-Y growth

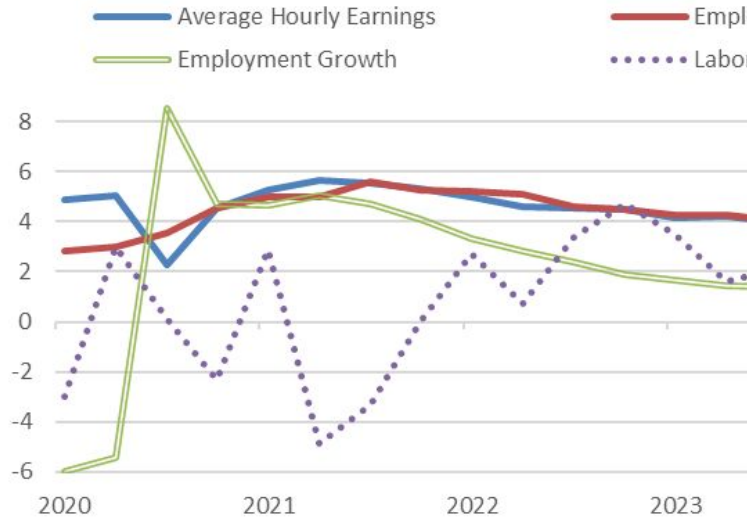


Chart 1. Labor productivity, nonfarm business, 2021Q1 – 2025Q2

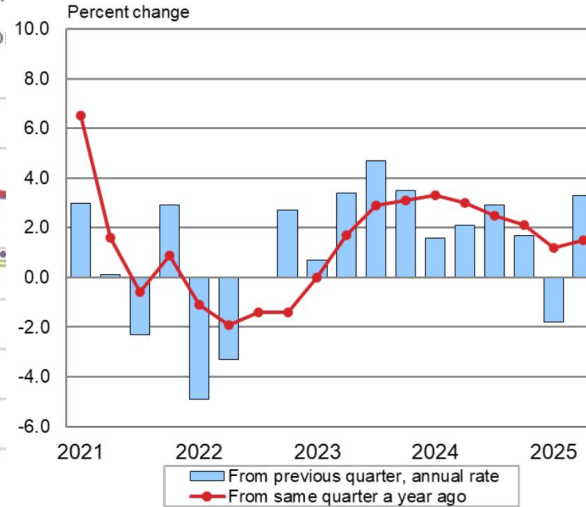
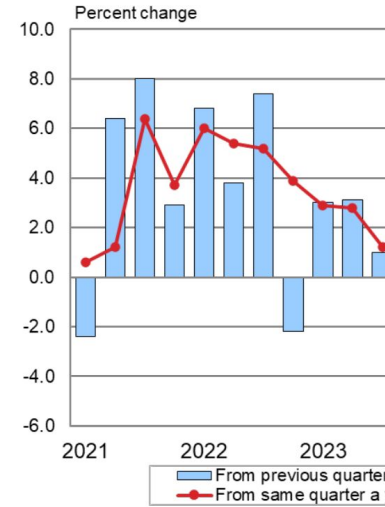
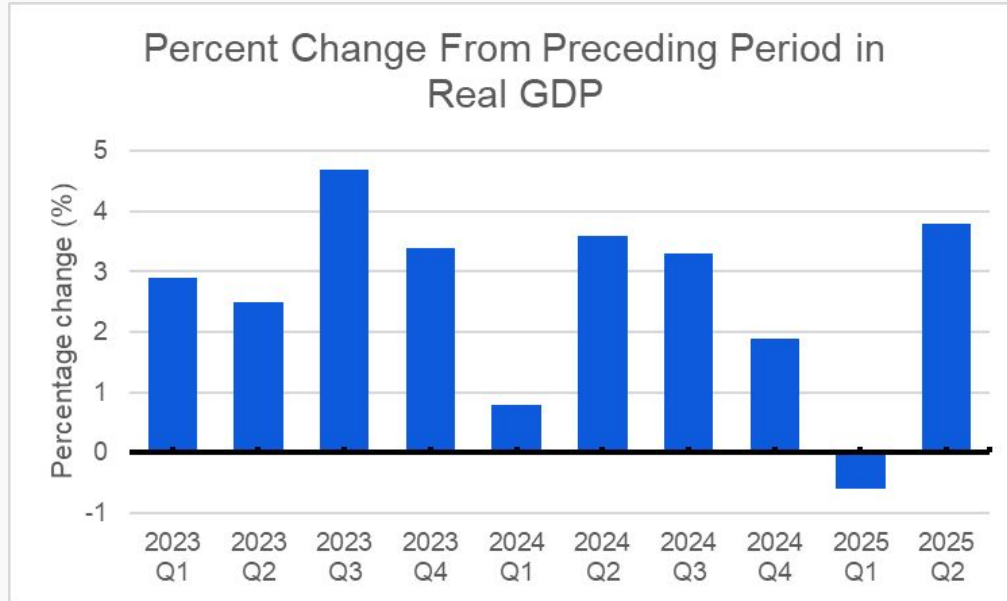


Chart 2. Unit labor costs, nonfarm business, 2021Q1 – 2025Q2



GDP and Business Metrics

Recent Real GDP Growth



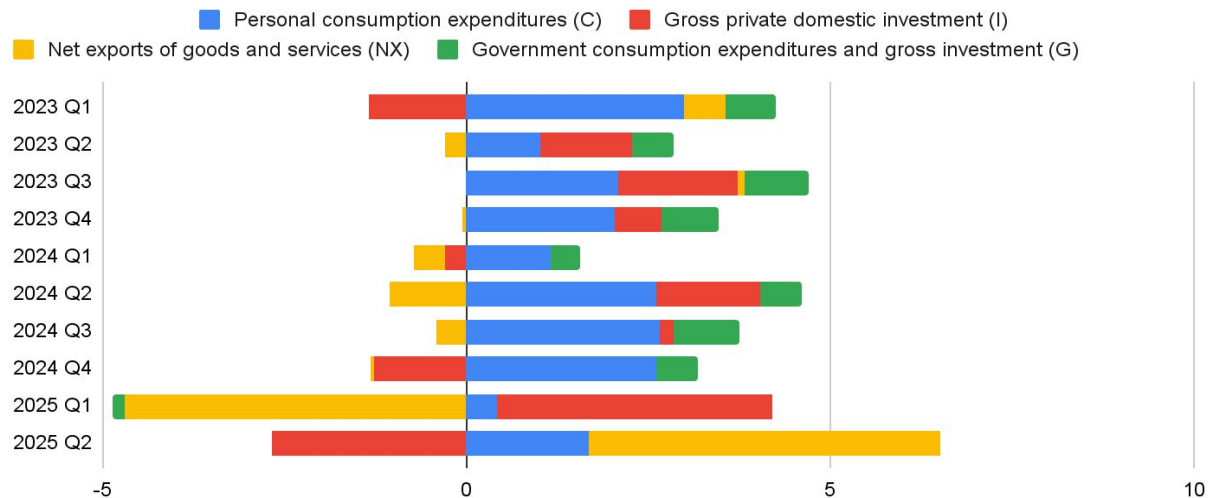
The revised data show a sharper rebound in Q2, underscoring that the economy **snapped back robustly after the Q1 contraction**.

Despite the volatility, strength in **consumer spending** helped drive the turnaround.

- In Q2 2025, U.S. real GDP grew at an annual rate of **3.8 %** (third estimate).
- In Q1 2025, real GDP fell by **0.6 %** (revised).

GDP Breakdown by Sector

Contributions to Percent Change in Real GDP



In Q2 2025, real PCE rose 2.5%, contributing +1.68 pp and remaining the main growth driver.

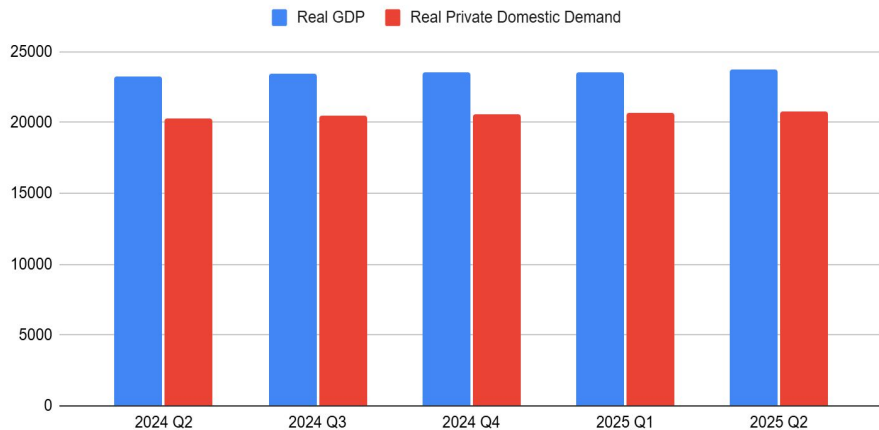
Fixed investment increased 7.3%, adding +1.0 pp as business spending strengthened, while housing investment fell 5.1%, continuing to drag on growth.

Net exports contributed positively as imports plunged, and government spending was flat, making almost no impact on GDP.

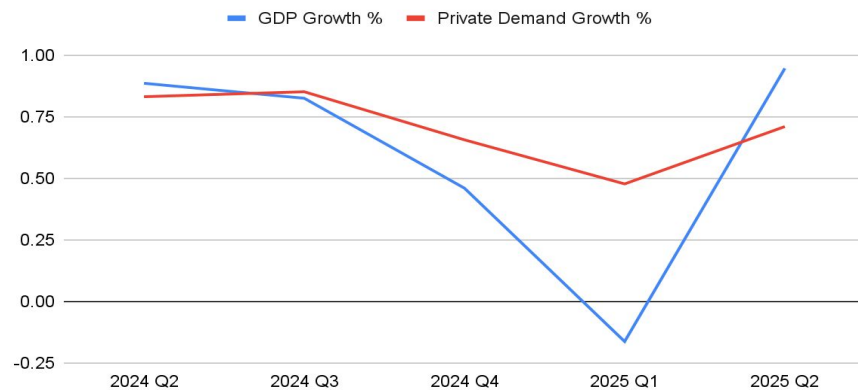
The Core Driver of U.S. Economic Growth

— Real Private Domestic Demand remains the main engine of GDP growth

Real GDP and Real Private Domestic Demand (Chained 2017 Dollars, SAAR)



Quarterly Growth in Real GDP and Real Private Domestic Demand (% Change, SAAR)



Real Private Domestic Demand = Real PCE + Real Private Fixed Investment

The stability of real private domestic demand reflects the ongoing strength of the U.S. economy, as household consumption and business investment continue to sustain growth even when housing and trade fluctuate.

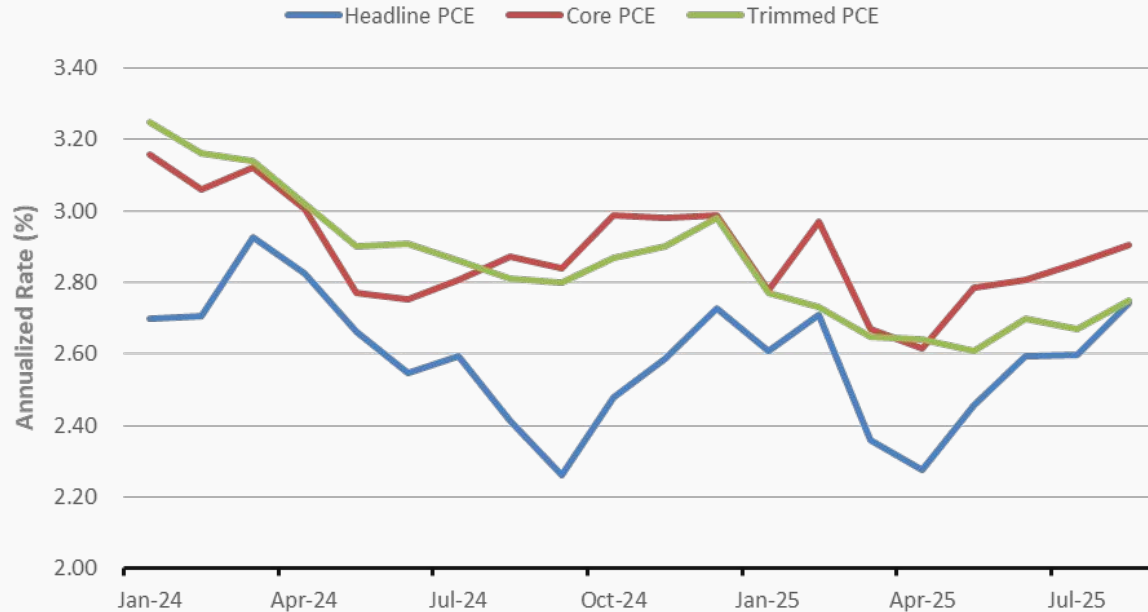
Inflationary Metrics

Inflation Metrics

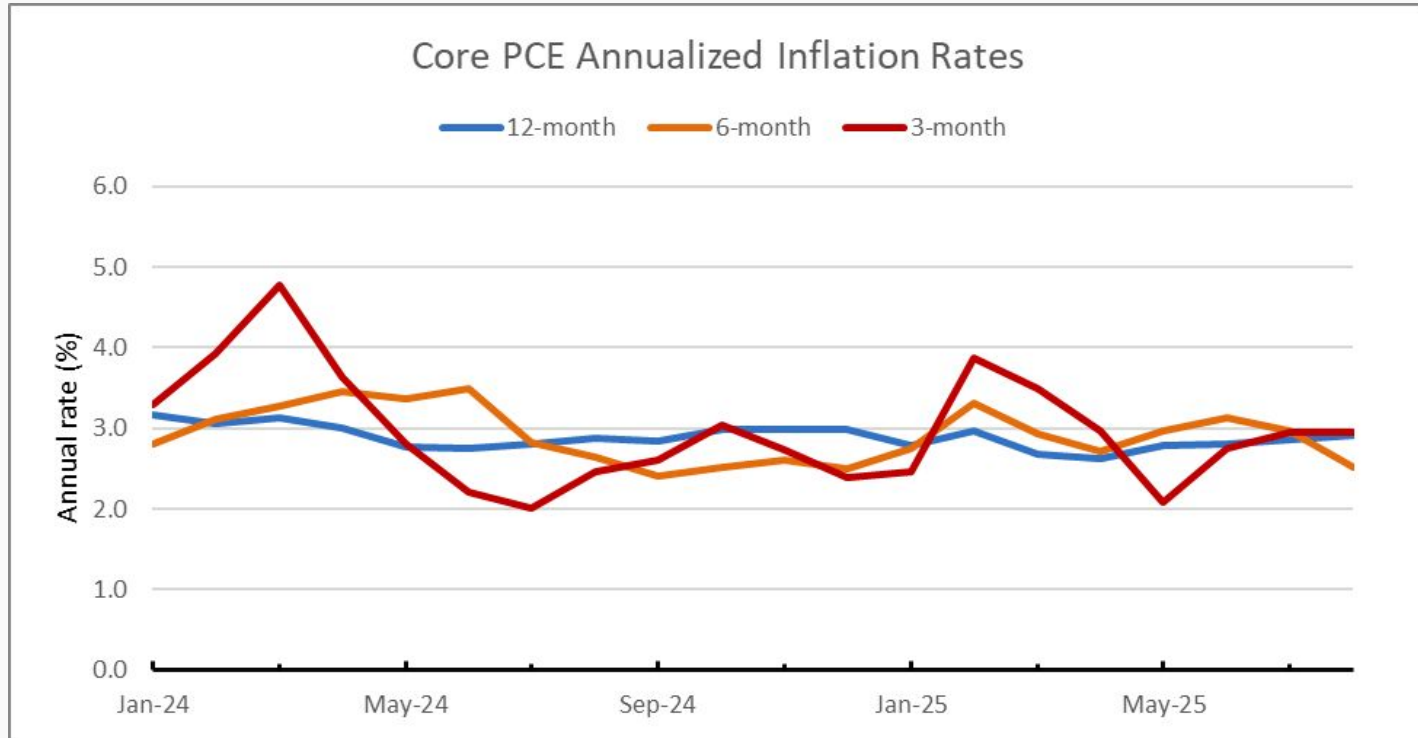
Core services inflation in August printed close to July at 0.35% M/M but after removing the contribution of airfares, hotels and shelter is at 0.03% M/M indicating weakness. Core goods inflation moved up slightly, but the magnitude isn't as high as implied from the effective tariff rate.

Personal Consumption Expenditure (PCE)

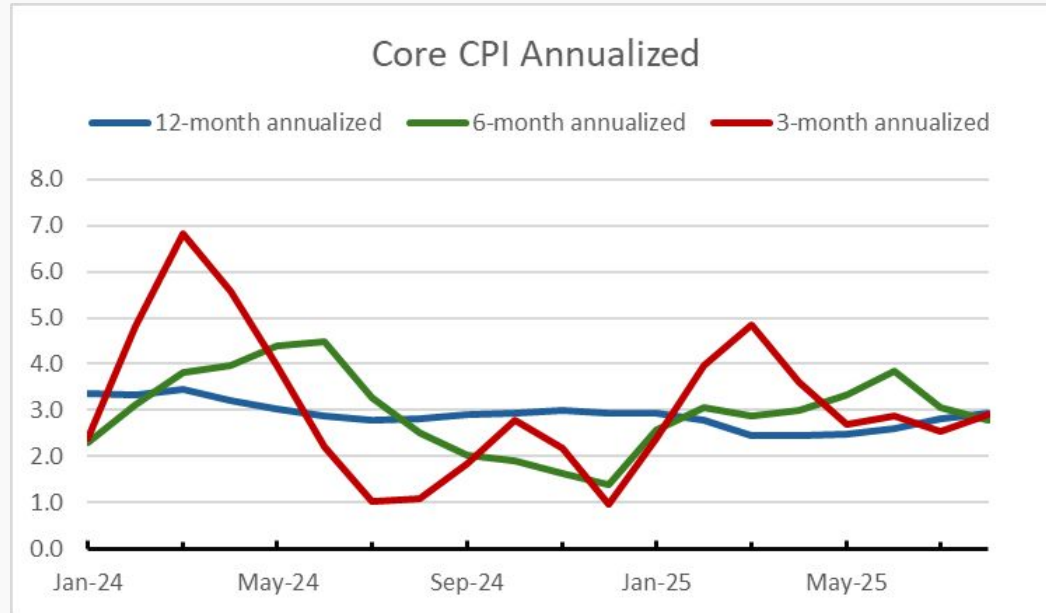
Headline Vs. Core Vs. Trimmed



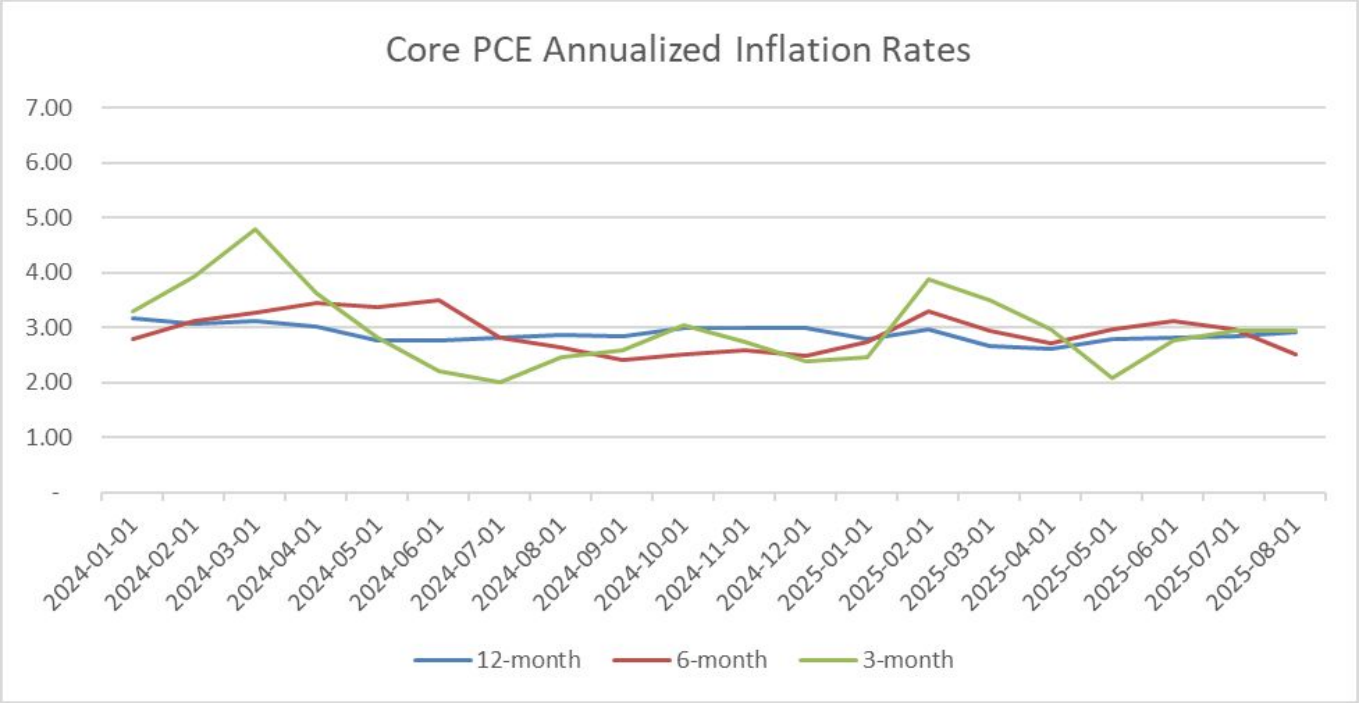
Inflation Metrics



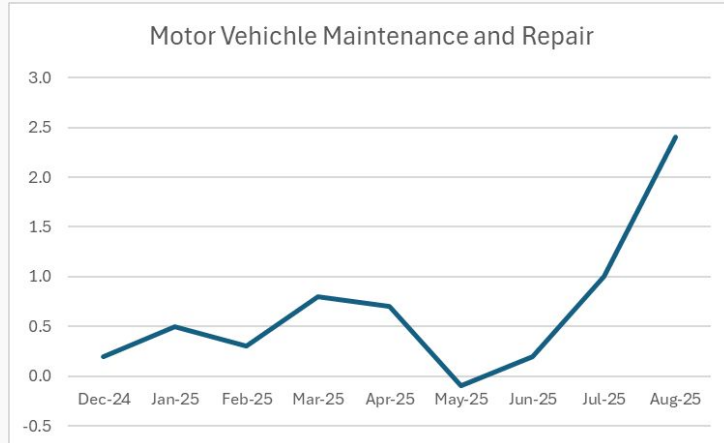
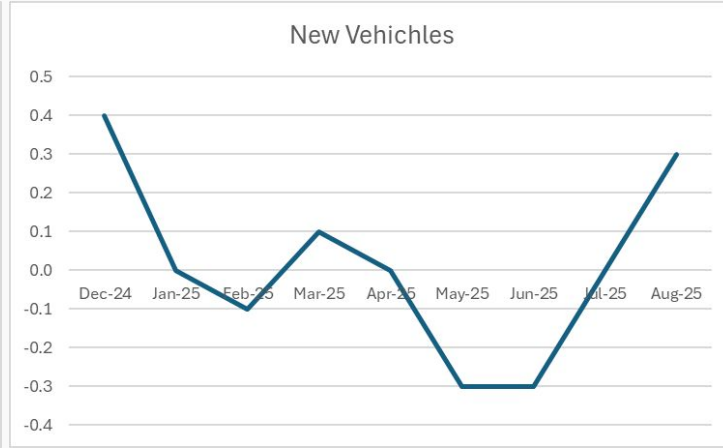
Inflation Metrics



Inflation Metrics- PCE

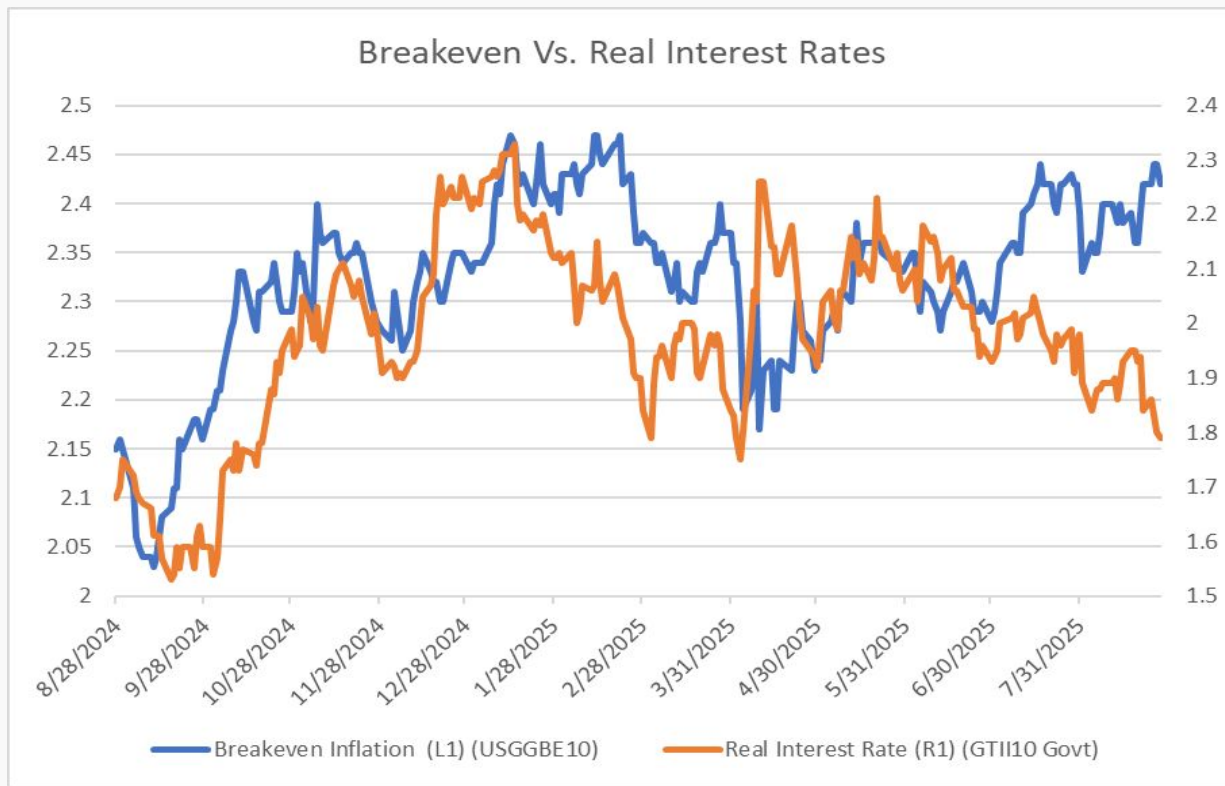


Inflation Metrics- CPI



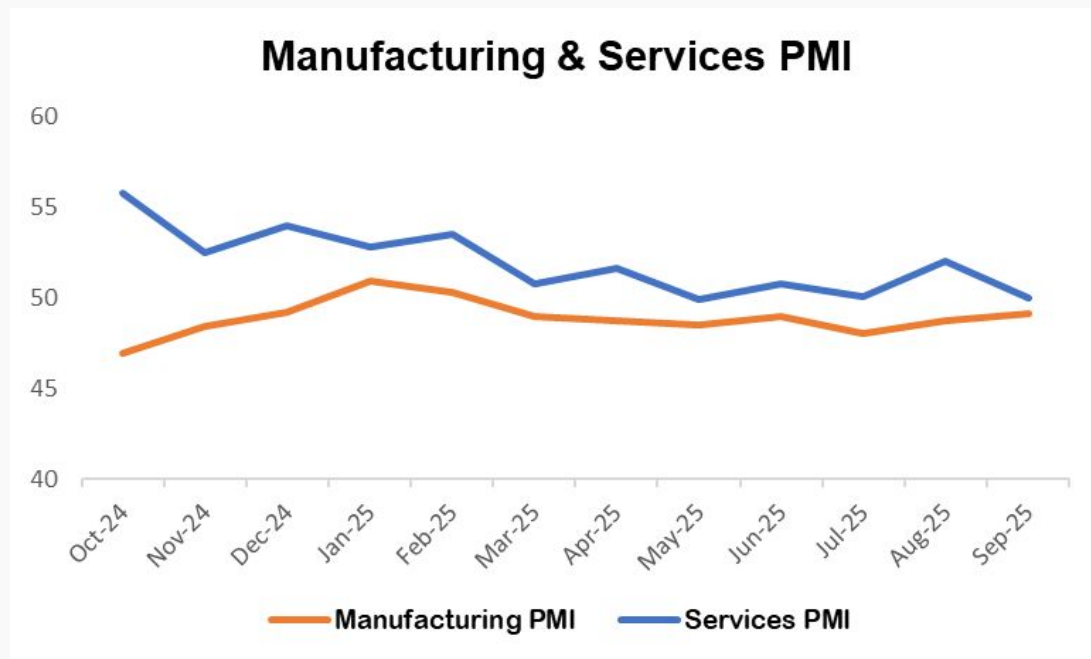
Core goods inflation edged up slightly, though the magnitude remains **less pronounced** than the effective tariff rate suggests. Key categories like **household appliances, apparel, recreational commodities, new vehicles, and motor vehicle parts** are the most closely monitored for tariff passthrough. Of these, **used cars, new cars, motor vehicle parts, and apparel** showed notable strength in their month-over-month prints. Recreation commodities did not show price increase and increase in household appliances was also weak compared to tariff rates.

Inflation Expectations Looking at TIPS



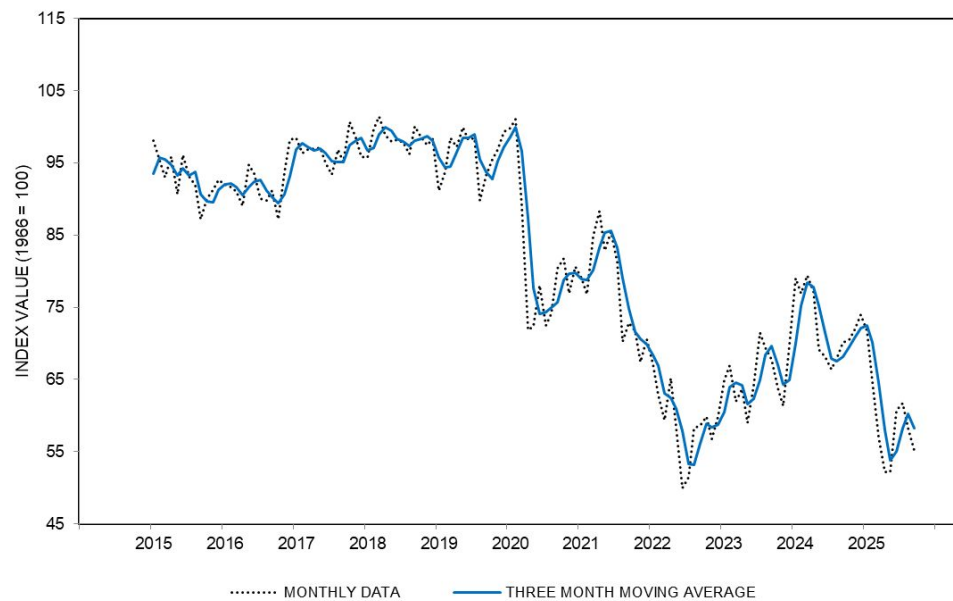
Economic & Financial Outlook

Manufacturing Contraction and Services Moderation

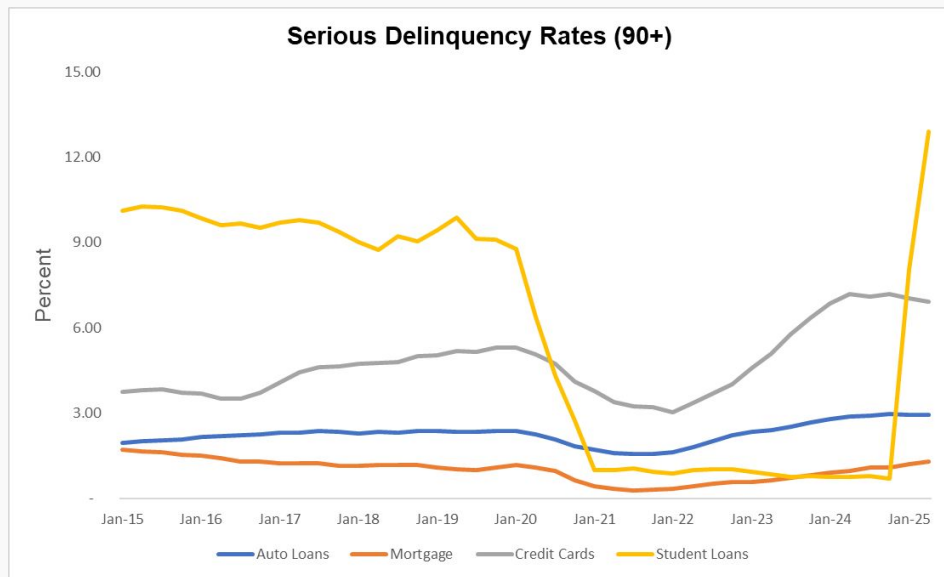


- Manufacturing PMI at 49.1% as of Sep
 - Manufacturers scaled back output in Aug
 - 2nd, 3rd, 10th, 11th districts
 - **Employment index:** 43.8%
 - **New orders Index:** 45.3%
 - **Backlog of Orders Index:** 46.2%
 - **Prices Index:** 61.9%
- Services PMI at 50% as of Sep
 - Services output moderating in Aug
 - 3rd, 5th, 10th, 11th districts show resilience
 - **Employment Index:** 47.2%
 - **New Orders:** 50.4%
 - **Prices Index:** 69.4%

THE INDEX OF CONSUMER SENTIMENT

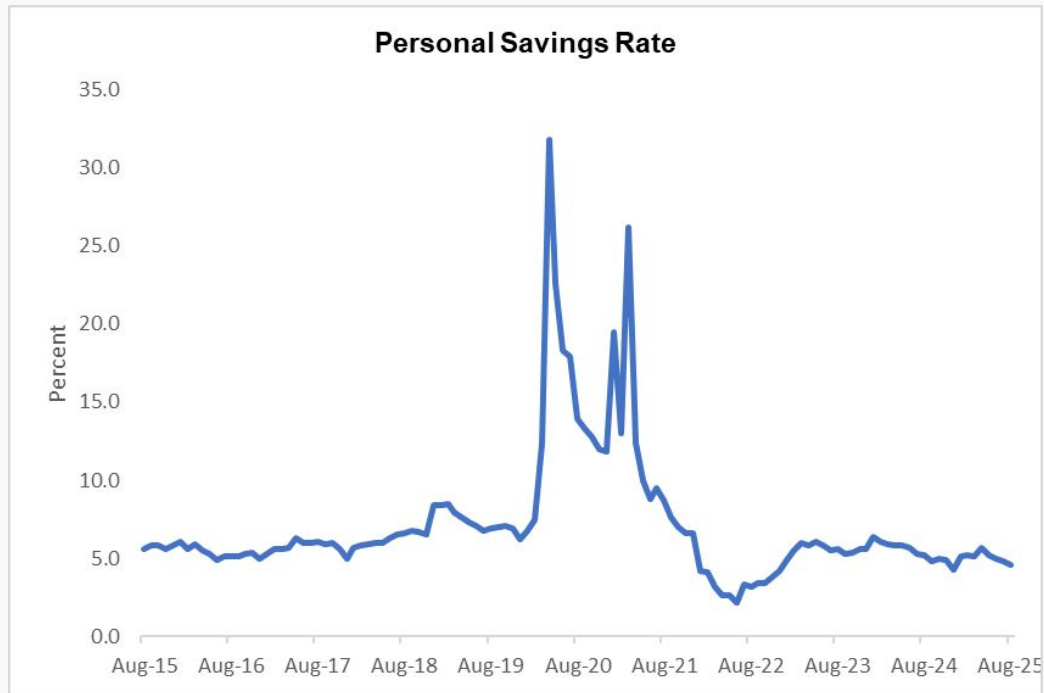


Delinquency Rates Climb



- Credit Cards: 6.93%
- Auto Loans: 2.94%
- Student Loans: 12.89%
- Mortgage: 1.29%

Savings Drop



Median Sales Price of Houses



New Residential Construction (Seasonally Adjusted)

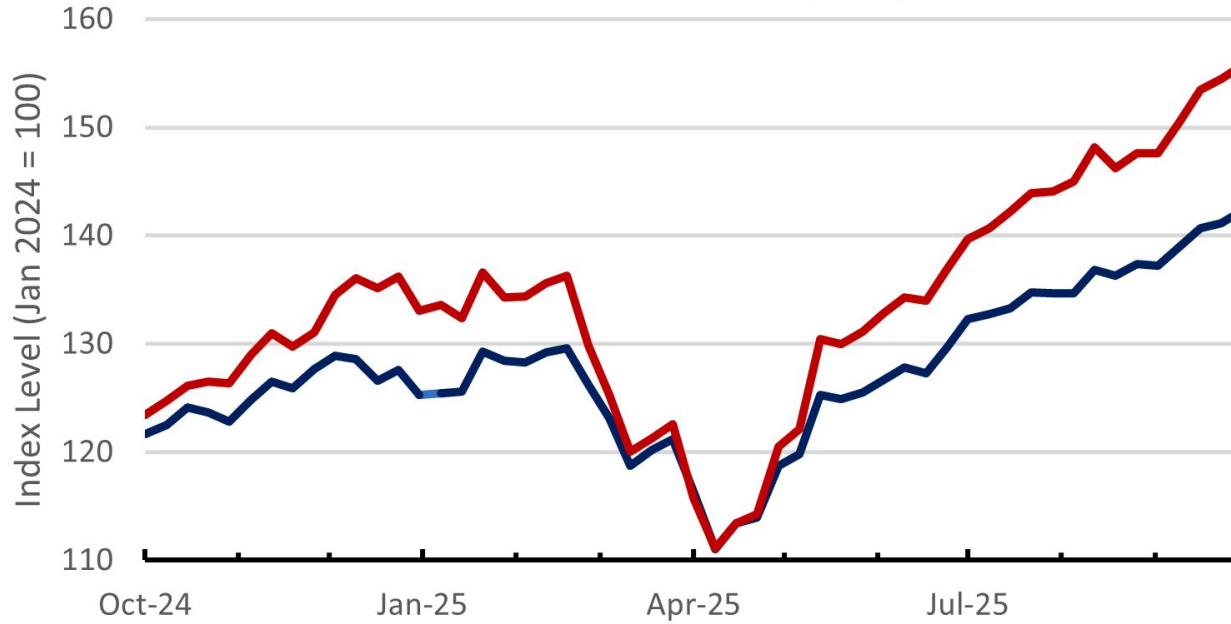


Resilient Markets Amid Economic Cooling

S&P & NASDAQ Performance

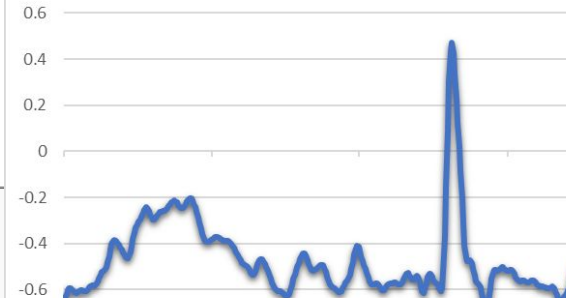
Indexed (Jan 2024 = 100)

— S&P 500 — NASDAQ Composite



- S&P 500 and NASDAQ have posted strong year-to-date gains.
- Investor sentiment remains upbeat despite softening employment data.
- Equity valuations have diverged from underlying

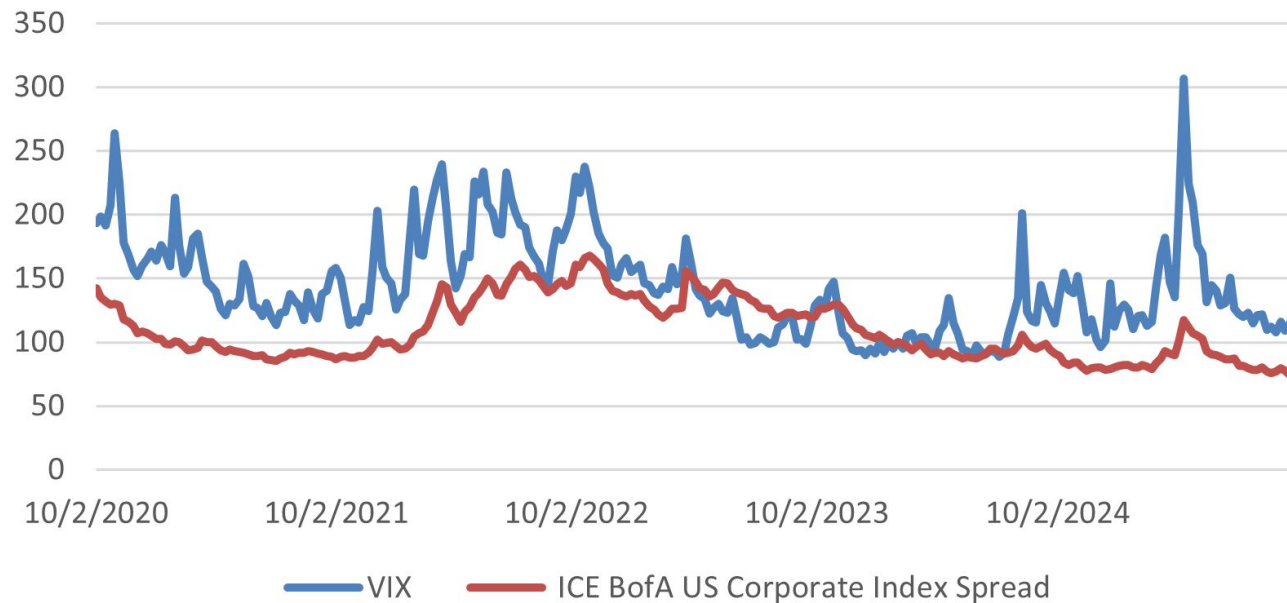
Chicago Fed Adjusted National Financial Index



Source: S&P Dow Jones Indices LLC, Nasdaq, Inc via FRED

Markets Calm Amid Tight Credit Spreads

VIX and US-Corporate Credit Spreads
(Indexed to 01/01/2020 =100)

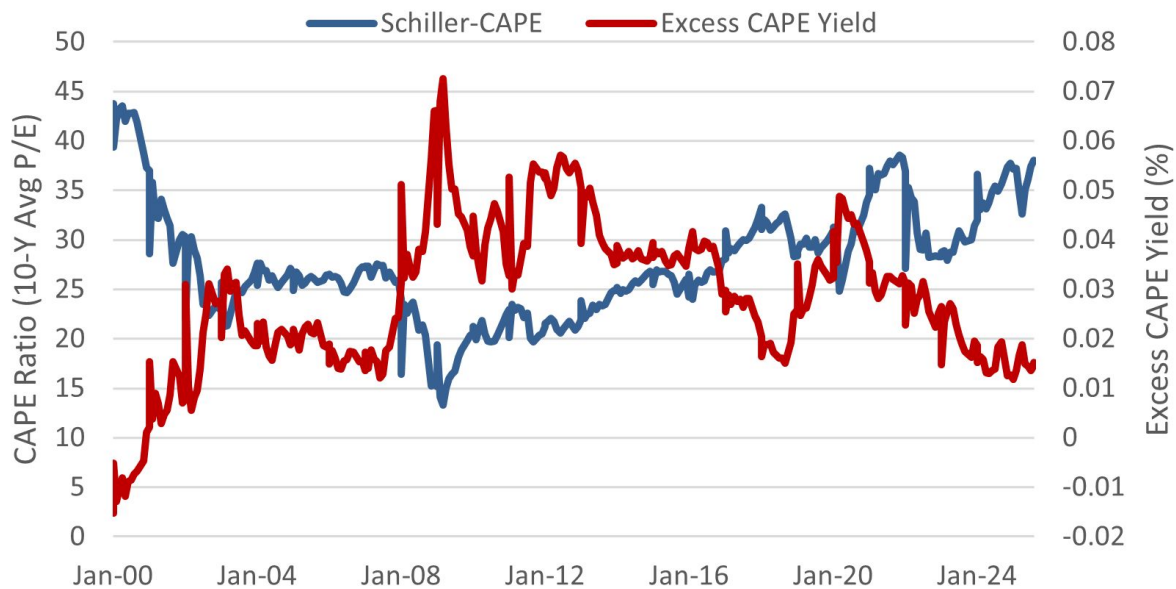


- VIX remains below 15 for most of 2025.
- Corporate spreads (ICE BofA index) at post-pandemic lows.
- Implied volatility suggests market complacency.

Source: Ice Data Indices, LLC, Chicago Board Options Exchange via FRED

Signs of Irrational Exuberance

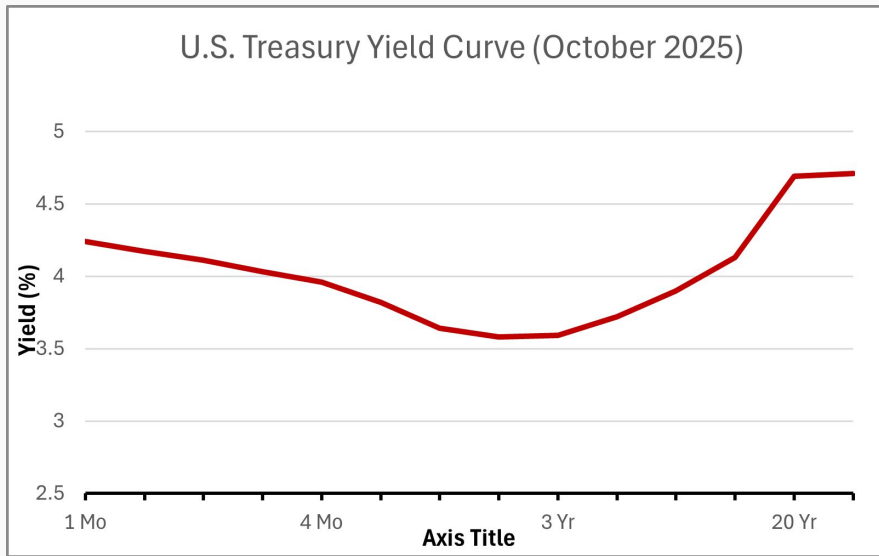
Schiller-CAPE vs. Implied Real Yield



Source: Schillerdata.com

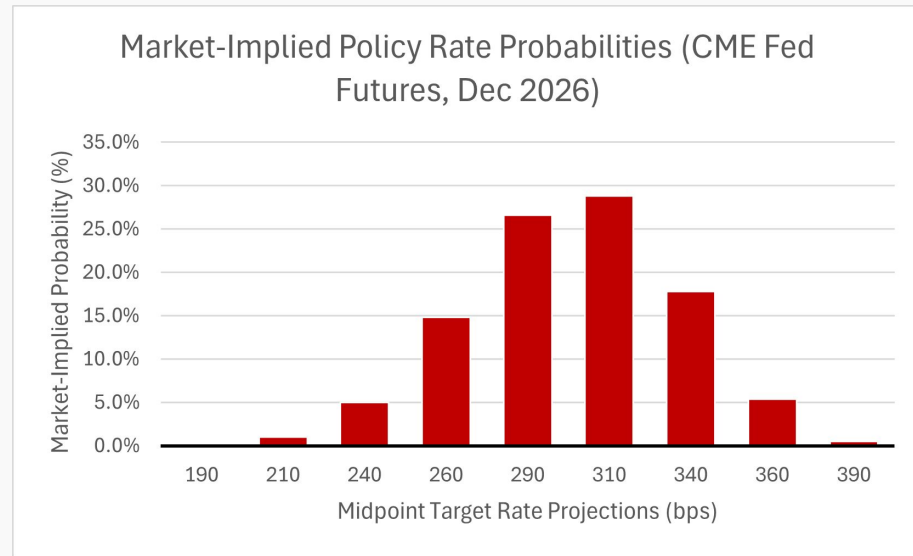
- **Valuations remain historically elevated**, with the Shiller CAPE ratio above 32 – a level consistent with past periods of speculative enthusiasm.
- **The Excess CAPE Yield has declined steadily**, suggesting that equities are offering less compensation relative to bonds.
- **Investors show rising optimism despite limited risk compensation**, leading to narrower risk premia across asset classes.

Markets Price Policy Easing Over 1–3-Year Horizon



Source: US Treasury

- The yield curve exhibits a **mid-curve depression** centered around 1–3 years.
- Longer-term yields remain anchored near neutral levels, suggesting **confidence in a soft landing rather than deep recession**.
- CME Fed Futures imply ~100 bps of easing within 12 months, consistent with the curve's shape.



Source: CME Group

Evaluating R^*

Evaluating inflationary and recessionary risks

Conclusion: Policy Recommendation

1. Rethinking Forward Guidance

Instead of embedding all policy nuances in the FOMC statement language –replete with adverbs and commas that are made to carry the weight of conveying information about state contingent future policy–the Fed could present a baseline view of the economy, including rate and balance sheet paths, alongside plausible alternative scenarios for the economy and the paths for the policy rate and balance sheet under each scenario. For example, the Fed could present in the SEP or in a new Economic Review an alternative scenario under different assumptions about the supply side of the economy – say productivity growth and the natural rate of unemployment – as well as a scenario under different assumptions about the demand side of the economy – say the household saving rate and the neutral rate of interest. This approach would of course require the Fed to take a stand on the reaction function assumed in the scenarios, or possibly a suite of reaction functions as are regularly featured in the semiannual MPRs. But while there would seem to be benefits from introducing scenario analysis to improve communication, there are also potential costs as highlighted by English (2025) in his discussion of Bernanke (2025), who argues that scenarios might not in practice be particularly effective – for example if they were presented as “staff” not “FOMC” scenarios – or could actually be counterproductive – for example providing a “financial crisis” scenario in a situation where a financial crisis seems a real possibility could trigger the outcome the central bank would like to avoid or providing an alternative scenario in which forward guidance is abandoned quickly could undermine the effectiveness of the guidance under the baseline outlook.